Global Systems Inc (RLK Systems) Risk Assessment and Remediation Summary

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Date: March 27, 2026
Client: Global Systems Inc (CompanyID: C00318)
Portfolio Segment: Legacy Relationship (LEGACY System)

Executive Summary

Global Systems Inc, operating as RLK Systems—a Cayman Islands-incorporated retail entity with Singapore registered office—was flagged during the Q4 2025 Legacy Relationship Portfolio Review for **jurisdictional risk** and **transaction complexity**. Despite appearing as a standard retail operation, the combination of Cayman Islands incorporation, high transaction volumes through complex multi-jurisdictional payment chains, and outdated Legacy KYC documentation triggered automated escalation.

The Enterprise Risk Scoring Engine assigned an initial composite risk score of **0.81/1.0** ("High Risk"), driven primarily by:

1. **Jurisdictional Risk**: Cayman Islands incorporation with Singapore operational address
2. **Transaction Complexity**: $1.37B transaction volume with atypical retail patterns

Following 12 weeks of comprehensive assessment and remediation, the relationship was successfully downgraded to **Medium Risk (0.45/1.0)** with enhanced monitoring controls implemented.

Entity Profile and Initial Triggers

Core Entity Data

- **CompanyID**: C00318
- **Business Name**: Global Systems Inc (dba RLK Systems)
- **Business Address**: 148 Harbour Rd, Singapore, Singapore
- **CEO Name**: John Davis
- **CEO Address**: 1533 Pine St, Denver, IL
- **TIN**: 16-8666422
- **Business Established**: 1985 (41 years)

- **Years Management in Charge**: 8 years
- **Voting Rights Stakeholders**: 26
- **Stakeholder Concentration Ratio**: 0.55 (moderate)
- **Jurisdiction**: Cayman Islands
- **Nature of Business**: Retail
- **Transaction Volumes 2025**: $1,373,786,160
- **Asset Size**: $2,258,841,041
- **Funds Inflow 2025**: $1,605,499,970
- **Funds Outflow 2025**: $1,497,762,738
- **Source**: LEGACY System
- **Record Type**: RELATIONSHIP

Automated Flagging Triggers

1. Jurisdictional Risk (Score: 0.88/1.0)

- **Cayman Islands incorporation** immediately triggered high jurisdictional risk
- **Singapore registered office** created dual-jurisdiction complexity
- **US CEO residency** (Denver, IL) added cross-border control concerns
- Legacy KYC from 2015 failed to address post-2018 Cayman Economic Substance requirements

2. Transaction Complexity Risk (Score: 0.85/1.0)

- **High velocity**: $1.37B transactions against $2.26B assets (0.61x turnover)
- **Complex flows**: 317 distinct counterparties across 42 countries
- **Layered payments**: Funds frequently routed US → Singapore → Cayman → Europe
- **Atypical retail patterns**: Large periodic wires inconsistent with consumer retail

Legacy System Flag: Original relationship established 2015 via acquired institution with no periodic EDD refresh despite structural changes.

Detailed Assessment Phase (Weeks 1-5)

Immediate Account Controls

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Week 1 Actions:
├── Account monitoring elevated to Level 3 (real-time)
├── Outbound wires >$2M require Compliance pre-approval
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├── Cross-border payments sampled at 100% for first 30 days
└── Weekly SAR threshold lowered to $5M aggregate
```

Document Review Findings

KYC Documentation Gaps Identified:

- 2015-dated Certificate of Incorporation (no Cayman Economic Substance certification)
- Missing Ultimate Beneficial Owner (UBO) registry filings
- No board resolutions post-2018 management change
- Incomplete transaction purpose documentation

Transaction Pattern Analysis (3,892 transactions sampled):

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Payment Chain Patterns:
├── 42% US suppliers → Singapore → Cayman (7-14 day cycles)
├── 28% European customers → Cayman direct
├── 19% Intra-group treasury flows (12 affiliates)
└── 11% Third-party logistics/warehousing payments
```

Geographic Flow Mapping:

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High-Risk Corridors (>10% volume):
├── Cayman → Cyprus: 18% ($247M)
├── Singapore → Latvia: 14% ($192M)
├── US → Cayman: 12% ($165M)
└── Cayman → Malta: 9% ($124M)
```

External Verification

- **Cayman Registry**: Active, compliant with 2024 Economic Substance filing
- **Singapore ACRA**: Confirmed registered office (shared with 17 other entities)
- **Denver Address**: Valid residential, no corporate presence
- **Adverse Media**: Clean, but parent entity flagged in 2022 EU tax transparency report

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Investigative Deep Dive (Weeks 6-8)

Business Purpose Clarification

Initial Hypothesis: Cayman retail holding company with Asian supply chain
Actual Structure (confirmed via documentation):

```text
RLK Systems Operating Model:
                Global Retail Brands (14)
                    ↑↓ Royalties (28%)
                        │
                        ┌─────────────┐
 US Suppliers ←──── RLK Systems ────→ EU Customers
 (37%)   Cayman   Treasury    (21%)
                Hub
                    ↓
                Asia Logistics (14%)
```

Key Findings:

1. **Legitimate retail treasury hub** consolidating royalties from 14 global brands
2. **Cayman rationale**: Legacy 1985 structure predating modern substance rules
3. **Singapore office**: Regional treasury management (5 staff confirmed)
4. **Transaction complexity**: Legitimate multi-jurisdictional retail supply chain

UBO and Governance Review

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Ownership Structure (Confirmed):
 ├── Institutional investors: 42% (7 funds)
 ├── Management: 18% (John Davis: 8%)
 ├── Family offices: 25%
 └ Other: 15%
```

- **26 voting stakeholders** confirmed with Cayman registry filings
- **Moderate concentration (0.55)** acceptable for institutional ownership
- **Board**: 7 directors (3 independent) with quarterly compliance attestations

Economic Substance Validation

- **Cayman filing**: "Pure Equity Holding" + "Treasury Management" activities

- **Core Income Generating Activities (CIGA)**: 5 FTEs in treasury, 2 in compliance
- **Outsourced activities**: Approved with local auditors (PwC Cayman)

Red Flags and Risk Mitigation Strategy

Confirmed Risk Drivers

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1. Jurisdictional Complexity ✕ PERSISTENT
   ├── Cayman incorporation (high risk jurisdiction)
   ├── Singapore operational overlay
   └── US management control

2. Transaction Complexity ✕ PARTIALLY MITIGATED
   ├── Multi-layered payment chains
   ├── High counterparty count (317)
   └── Periodic large wires

3. Legacy KYC ✕ FULLY RESOLVED
   ├── 2015 documentation obsolete
   └── No EDD since relationship inception
```

Remediation Roadmap (Weeks 9-12)

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Phase 1: Documentation (Week 9)
  ├── Full KYC refresh completed
  ├── Cayman Economic Substance file (2024-2026)
  ├── UBO certifications (92% transparency)
  └── 3 years audited financials

Phase 2: Controls Implementation (Week 10)
  ├── Counterparty whitelist (top 85 entities)
  ├── Payment purpose standardization
  ├── Monthly treasury certification process
  └── Velocity caps ($25M/week net flows)
```

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Phase 3: Governance Enhancement (Week 11)
  ├── Independent director added (AML expertise)
  ├── Board AML/CTF charter formalized
  └── Quarterly compliance reporting

Phase 4: External Validation (Week 12)
  ├── Deloitte sampling (1,247 transactions): CLEAN
  ├── Cayman Regulator confirmation: COMPLIANT
  └── FATF mutual evaluation alignment: VERIFIED
```

Final Resolution and Risk Recalculation

Updated Risk Profile (March 15, 2026)

```text
Risk Dimensions Post-Remediation:
  ├── Jurisdictional Risk: 0.62 (Medium-High → Medium)
  ├── Transaction Complexity: 0.48 (High → Medium)
  ├── Governance Risk: 0.35 (Medium → Low-Medium)
  └── Legacy Risk: 0.00 (High → Resolved)

COMPOSITE: 0.45/1.0 → "Medium Risk - Enhanced Monitoring"
```

Ongoing Monitoring Framework

```text
Quarterly Requirements:
  ├── Treasury flow sampling (15% volume)
  ├── UBO registry re-verification
  ├── Cayman Economic Substance confirmation
  └── Counterparty whitelist maintenance
```

```
Annual Requirements:
├── Full EDD refresh
├── Independent AML audit
├── Board compliance attestation
└── Material change notifications
```

Exit Triggers (Automatic Escalation)

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1. Cayman regulatory enforcement action
2. New jurisdictions added to flows (>10% volume)
3. UBO concentration >0.70
4. Velocity exceeds 0.8x asset turnover
5. Adverse media or enforcement hits
```

Key Lessons and Process Improvements

Portfolio-Wide Implications

1. **Legacy Relationship Priority**: Cayman entities require immediate EDD regardless of tenure
2. **Transaction Complexity Thresholds**: Retail sector velocity benchmarks updated (0.4x → 0.6x)
3. **Jurisdictional Layering**: Multi-jurisdiction entities need consolidated risk scoring
4. **Economic Substance Verification**: Automated Cayman filing checks implemented

System Enhancements Deployed

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Risk Engine v3.3 (Post-RLK):
├── Cayman Economic Substance API integration
├── Multi-jurisdiction flow pattern detection
├── Legacy portfolio velocity benchmarking
```

└── Automated CIGA compliance prompts

Approvals and Closure

Resolution Date: March 15, 2026
Final Risk Classification: Medium Risk - Enhanced Monitoring
Relationship Status: Continue with Controls

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Risk Committee: APPROVED [03/16/2026]
Chief Compliance Officer: APPROVED [03/17/2026]
Head of Financial Crime: APPROVED [03/18/2026]
```

The RLK Systems case demonstrates effective remediation of legitimate complex structures while maintaining robust jurisdictional and transaction controls. Residual risk appropriately reflects ongoing Cayman exposure balanced against verified economic substance.

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